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Expiration date: 03/31/2027

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**Appendix 1: Lead Agency Implementation Plan
for**

State/Territory North Carolina

FFY 2025 – 2027

Version: Initial Plan

Plan Status: Approved as of 2024-11-09 00:37:10 GMT

For each non-compliance, Lead Agencies must describe the following:

- **Action Steps:** List the action steps needed to correct the finding (e.g., update policy manual, legislative approval, IT system changes, etc.). For each action step list the:
 - o **Expected Completion Date:** List the expected completion date for the action step.
- **Overall Target Date for Compliance:** List date Lead Agency anticipates completing implementation, achieving full compliance with all aspects of the findings. (Note: Compliance will not be determined until the FFY 2025-2027 CCDF Plan is amended and approved).

ELIGIBILITY AND ENROLLMENT:CONTINUITY OF CARE (12-MONTH ELIGIBILITY)

Reason(s) for non-compliance:

- The Lead Agency does not always provide a minimum 12-month eligibility period for each child, as required by 98.21(a)(1). (Plan Question 2.5.2a and 2.5.2c)

Overall Target Completion Date: 08/01/2026

Action Step Number	Action Step Description	Target Completion Date
1	Submit change request to NC FAST.	05/30/2024
2	Finalize business requirements for necessary changes in NC FAST.	03/31/2025
3	Develop policy and procedures for DSS/LPA workers.	06/02/2026
4	Release functionality in NC FAST and new policy to DSS/LPA workers via written policy document, share during Economic Programs Committee with DSS agencies, and incorporate training for new policy into county TA meetings and territory trainings.	08/01/2026

EQUAL ACCESS:AFFORDABILITY

Reason(s) for non-compliance:

- The Lead Agency does not prohibit increases to co-payments within the 12-month eligibility period prior to graduated phase-out period, as required by 98.21(a)(3). (Plan Question 2.5.4)
- The Lead Agency does not limit all family co-payments to seven percent or less of family income, as required by 98.45(l)(3). (Plan Question 3.1.1a). Please note the Lead Agency has an approved waiver for this requirement through August 1, 2026.
- The Lead Agency does not have a sliding fee scale that is based on income and family size, as required by 98.45(l)(2). (Plan Question 3.1.1b)
- The Lead Agency does not include the rationale for the policy to allow providers to charge families additional amounts above the required co-payment, including a

demonstration of how the policy promotes affordability and access for families, as required by 98.45(b)(5). (Plan Question 3.1.2ei)

Overall Target Completion Date: 08/01/2026

Action Step Number	Action Step Description	Target Completion Date
1	(Prohibit co-payment inc.) Submit change request to NC FAST.	05/30/2024
2	(Prohibit co-payment inc.) Finalize business requirements for necessary changes in NC FAST.	03/31/2024
3	(Prohibit co-payment inc.) Develop policy and procedures for DSS/LPA workers.	06/02/2026
4	(Prohibit co-payment inc.) Release functionality in NC FAST and new policy to DSS/LPA workers via written policy document, share during Economic Programs Committee with DSS agencies, and incorporate training for new policy into county TA meetings and territory trainings.	08/01/2026
5	(Limit co-payment to 7%) Submitted request to NC General Assembly to change special provision language regarding copayment maximum from 10% to 7%.	04/30/2024
6	(Limit co-payment to 7%) NC FAST IT upgrade.	03/30/2025
7	(Limit co-payment to 7%) Creation (6/1/26), communication and implementation of new policy.	08/01/2026
8	(Fee based on family size) Updated sliding fee scale chart to include family size. https://ncchildcare.ncdhhs.gov/Services/Financial-Assistance/Do-I-Qualify	07/31/2024
9	(Revise policy) Complete TA in the form of a peer to peer meeting regarding whether or not to require parents to pay the difference between the provider's charge and the rate paid by the LPA.	05/30/2025
10	(Revise policy) Develop any policy changes that might be needed in response to TA.	05/29/2026

EQUAL ACCESS:PAYMENT PRACTICES

Reason(s) for non-compliance:

- The Lead Agency does not pay all provider types prospectively or alternatively does not demonstrate that it is not a generally-accepted practice for all provider types, as required by 98.45(m)(1). (Plan Question 4.4.1a). Please note the Lead Agency has an approved waiver for this requirement through August 1, 2026.
- The Lead Agency does not pay based on enrollment or alternatively does not provide justification that this is impracticable or is not a generally-accepted practice, as required by 98.45(m)(2). (Plan Question 4.4.1b). Please note the Lead Agency has an approved waiver for this requirement through August 1, 2026.
- The Lead Agency does not pay for reasonable mandatory registration fees that the provider charges to private-paying parents, as required by 98.45(m)(4). (Plan Question 4.4.2b)

Overall Target Completion Date: 08/01/2026

Action Step Number	Action Step Description	Target Completion Date
1	Submit change request to NC FAST.	05/30/2024
2	Develop policy and procedures for program.	08/29/2025
3	Finalize business requirements for NC FAST.	11/01/2025
4	Release functionality in NC FAST and new policy to DSS/LPA workers via written policy document, share during Economic Programs Committee with DSS agencies, and incorporate training for new policy into county TA meetings and territory trainings. Provide written notice of the policy change to providers and recipients.	08/01/2026

EQUAL ACCESS:PAYMENT RATES

Reason(s) for non-compliance:

- The Lead Agency does not sufficiently address the methodology used to complete the narrow cost analysis or estimated cost of care, the variations in analysis, assumptions and data included in the methodology, or consideration of higher-quality care, as

required by 98.45(f)(1)(ii). (Plan Questions 4.2.2a, 4.2.2b, 4.2.2c, and 4.2.2d)

- The Lead Agency's payment rates for infants in center-based care and infants in family child care homes are not sufficient to ensure equal access, as required by 98.45(a). (Plan Question 4.3.2a)

Overall Target Completion Date: 08/01/2026

Action Step Number	Action Step Description	Target Completion Date
1	Complete narrow cost analysis.	09/30/2024
2	Provide responses to 4.2.2a,b,c, d and e to CCDF Plan.	01/31/2025
3	Submit request to NC General Assembly to implement rates recommended by the 2023 Market Rate Study (MRS). These rates would be at the 75th percentile of the latest MRS.	01/31/2025
4	After NC General Assembly approves and funds rate increases; submit change request to NC FAST and finalize business requirements for NC FAST.	11/01/2025
5	Release functionality in NC FAST and new policy to DSS/LPA workers via written policy document, share during Economic Programs Committee with DSS agencies, and incorporate training for new policy into county TA meetings and territory trainings. Provide written notice of the policy change to recipients and providers.	08/01/2026

EQUAL ACCESS:PROVIDER OPTIONS FOR PARENTS

Reason(s) for non-compliance:

- The Lead Agency does not provide grants or contracts for direct services for infants and toddlers, for children in underserved geographic areas, and for children with disabilities, as required by 98.30(b)(1). (Plan Questions 4.1.1c and 4.5.1i). Please note the Lead Agency has an approved waiver for this requirement through August 1, 2026.

Overall Target Completion Date: 08/01/2026

Action Step Number	Action Step Description	Target Completion Date
1	Explore whether grants or contracts for direct services would be best in NC.	05/30/2025
2	Collaborate with necessary administrative offices for developing procedure and any IT functionality.	08/01/2025
3	Finalize any business requirements for the needed IT functionality.	05/30/2026
4	Release functionality in IT system, new policy to DSS/LPA workers, share during Economic Program's committee with DSS agencies, and incorporate training for new policy/procedure into county meetings and territory trainings. Provide written notice of the new service/policy change to recipients and providers.	08/01/2026

HEALTH AND SAFETY:CHILD DEVELOPMENT

Reason(s) for non-compliance:

- The Lead Agency does not require pre-service or orientation training on child development for licensed centers, licensed family child care providers, licensed in-home providers, license-exempt centers, and license-exempt family child care providers, as required by 98.44(b)(1)(iii). (Plan Question 5.4.1I)
- The Lead Agency does not require an annual unannounced inspection for licensed centers and licensed family child care providers, or an annual inspection for license-exempt centers or license-exempt family child care providers for compliance with pre-service or orientation training requirements related to child development, as required by 98.42(b)(2)(i)(B) and 98.42(b)(2)(ii). (Plan Questions 5.5.1.ail, 5.5.1bil, 5.5.2.ai, and 5.5.2bi)

Overall Target Completion Date: 10/01/2026

Action Step Number	Action Step Description	Target Completion Date
1	Develop online training module to address child development, including the five major domains for learning, for staff and providers to complete to	04/01/2025

	meet pre-service/orientation and on-going training requirements.	
2	Initiate rulemaking with Child Care Commission. Rules may be effective May 2026. However, the rulemaking process could take up to 18 months.	05/29/2026
3	Implement rule with consultants and providers.	05/29/2026
4	Enforce and monitor requirements when rules are effective.	10/01/2026

HEALTH AND SAFETY:EMERGENCY PREPAREDNESS AND RESPONSE PLANNING

Reason(s) for non-compliance:

- The Lead Agency standard for emergency preparedness and response planning does not include all the required elements for licensed centers, licensed family child care providers, licensed in-home providers, license-exempt centers, license-exempt family child care providers, and out-of-school programs, as required by 98.41(a)(1)(vii). (Plan Question 5.3.7vi)
- The Lead Agency does not require an annual unannounced inspection for licensed centers and licensed family child care providers or an annual inspection for license-exempt centers and license-exempt family child care providers for compliance with an emergency preparedness and response planning standard, as required by 98.42(b)(2)(i)(B) and 98.42(b)(2)(ii). (Plan Questions 5.5.1aii, 5.5.1bii, 5.5.2ai, and 5.5.2bi)

Overall Target Completion Date: 10/01/2026

Action Step Number	Action Step Description	Target Completion Date
1	Initiate rulemaking with the Child Care Commission requiring volunteers to be trained on the EPR Plan.	05/01/2025
2	Rule implementation: Communicate to Child Care Consultants new rule and any guidance for sharing rule with child care providers (update forms); inform and provide any TA on new rule .child care providers during licensing visits or other means.	05/01/2026

3	Enforce and monitor requirements when rules are effective.	10/01/2026
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HEALTH AND SAFETY:ONGOING TRAINING

Reason(s) for non-compliance:

- The Lead Agency does not have requirements for ongoing training on health and safety standards for additional caregivers and substitutes in licensed family child care providers, as required by 98.44(b)(2)(i). (Plan Question 5.6.1c)
- The Lead Agency does not require an annual unannounced inspection for licensed family child care providers or an annual inspection for license-exempt centers and license-exempt family child care providers for compliance with ongoing training requirements, as required by 98.42(b)(2)(i)(B) and 98.42(b)(2)(ii). (Plan Questions 5.5.1bii, 5.5.2ai, and 5.5.2bi)

Overall Target Completion Date: 10/01/2026

Action Step Number	Action Step Description	Target Completion Date
1	Initiate rulemaking with Child Care Commission.	05/29/2025
2	Rule implementation - Train Child Care Consultants on new rule(s) and provide training to child care providers. Send updates in Raising NC Newsletter.	05/29/2026
3	Enforce and monitor requirements when rules are effective.	10/01/2026

HEALTH AND SAFETY:POSTING INSPECTION REPORTS

Reason(s) for non-compliance:

- The Lead Agency does not post full monitoring and inspection reports that include all areas of compliance and non-compliance for all providers, as required by 98.33(a)(4)(ii). (Plan Question 5.5.4a). Please note the Lead Agency has an approved waiver for portions of this requirement through August 1, 2026.

Overall Target Completion Date: 03/01/2026

Action Step Number	Action Step Description	Target Completion Date
1	IT system update.	01/30/2026
2	Training and awareness of system changes.	03/01/2026

**QUALITY IMPROVEMENT AND SUPPORT FOR CHILD CARE
WORKFORCE:PROFESSIONAL DEVELOPMENT**

Reason(s) for non-compliance:

- The Lead Agency does not have an annual requirement for a minimum number of hours of ongoing professional development for staff in license-exempt centers and license-exempt family child care providers, and for additional caregivers and substitutes in licensed family child care providers, as required by 98.44(b)(2). (Plan Questions 6.3.1b, 6.3.1c, and 6.3.1.d)

Overall Target Completion Date: 10/01/2026

Action Step Number	Action Step Description	Target Completion Date
1	[6.3.1(c) - Subs in FCCH] Initiate rulemaking with the Child Care Commission.	05/29/2026
2	Rule Implementation - Train Consultants and providers on the new rules and provide awareness of rule changes in Raising NC Newsletter.	05/29/2026
3	Enforce and monitor rules when rules become effective.	10/01/2026